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ROCKWOOL A/S (ROCK.B.DK)

Q4 2022 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Thomas Harder
Director-Group Treasury & Investor Relations, ROCKWOOL A/S

Good day to everyone. Welcome to Rockwool A/S Conference Call regarding the Results for the Full Year 2022. My name is Thomas Harder. I'm the Director of Group Treasury and Investor Relations of Rockwool A/S. Today, I am pleased to present CEO, Jens Birgersson; and CFO, Kim Junge Andersen. For the first part of this call, all participants will be in a listen-only mode. As a reminder, this conference call is being recorded. First, Jens Birgersson will go through our presentation and give you an update on the results for the full year and fourth quarter of 2022. Afterwards, we'll be ready to answer all your good questions.

Before I hand over the words to Jens Birgersson, I must ask you to note slide number 2, which is the forward-looking statement. Please be aware that this presentation contains uncertainties. Now we can go to the next slide, which is slide number 3.

Jens Birgersson, I'll now hand over the words to you.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

Thank you, Thomas. Good morning, everyone. If we look at the full year, it was the third unusual year in a row we have had. And – but when we look at the outcome, we are quite satisfied with that from Rockwool. €3.9 billion top line, up 23%, €400 million EBIT. And if we set aside Ukraine provision, 10.6% EBIT margin.

So, considering where we were at – slide 4, please – and we look into Q4, the background to that was Q3 where we only had 6.2% EBIT margin and surging energy prices. And when we looked at our forecast in Q3, our challenge was to get the balance between the price and the surge in energy prices. Energy price did come down a little bit in Q4. We got successfully pricing up and that gave us on a top line of about €1 billion or €955 million and an EBIT of €101 million, and more normalized EBIT margin around 10.5%. Obviously, not up on the 12%, but considering the very extreme energy cost increases that we reached 12% if you set aside the Ukraine provision. We are happy with that. I suspect we haven't – I haven't checked the numbers, but we probably haven't delivered more EBIT in Q4 actually and definitely not for the full year.

What also happened in that quarter was that we saw how the construction market started to get impact as by the very high material prices, energy prices, interest rate, and the general macroeconomic climate. So, while we had very good growth starting 2022, little bit less than Q2. In Q3 and Q4, we went into negative territory. So, while we were delivering that fourth quarter under profitability, we pulled down our factory capacity. And actually, in Q4, we reduced about 500 jobs in manufacturing, and we pulled the capacity down to more normal levels. Remember in Q2 and beginning of Q3, we were on extremely high capacity utilization. Should be said also that, that reduction of 500 factory jobs, we have that kind of as part of our system where we mix permanent employees for temporary employees. So, it's something we can do. It's not easy, but relatively easy and we have done it many times over the last years.

So, outcome was good but again we saw a slowdown, and when we spoke last end of February, we were quite open with what we see that why the construction industry, especially new bid, started to decline, in not every market obviously. At the same time, we saw Asia waking up, and we saw Canada and US in a pattern, where during the autumn, US was down quite a lot and Canada started growing and that's switching between the different months.

If you go to slide 5, full year sales, not much to say about that, but that for the year the growth was driven by insulation up 29%, more than €3 billion sales, and the majority of that growth comes out of improved price.

Slide 6, looking into the quarter, most of the insulation or the insulation growth in that quarter is solely referring to price because we had volumes down and the slowdown. December was okay, not a disaster, not special in any way, but also okay December but as always a low month. If you look into the Systems division, where the growth stepped up a little bit, we saw basically Rockfon Europe, North America doing quite well, especially North America. Rockpanel generally had a good year straight through with good top line growth and from a negative growth early in the year, mainly driven by the situation in the US, came back to slight positive growth in Q3, and then in Q4, they were up on double digit. I still would say that's too early to say whether we have turned the corner, but at least we had now two quarters for quite a long time where we had growth in Grodan.

Slide 7, if you look into the regional development, in Western Europe, it was quite a uniform pattern with declining volumes, but good healthy price realizations. We basically had a growth across Western Europe, but obviously less than Q3. Eastern Europe did quite well in Q4, but Russia was down double digit, not triple digit, but double digit, and that took Eastern Europe and Russia down to 2%. North America up single digit, around the 5% mark. And there during the autumn, we saw US quite stagnant or flattish, and Canada still moving forward quite well. Asia, very good development outside China. But China down some 20%, 30%. And that – we expect that to continue a bit more. But the Chinese economy and the construction market has not recovered. Again, the size of China in Rockwool should be prospective. We are small in China. So, it doesn't really make – have a big impact.

Slide 8, energy pricing. Q4 energy prices, if we take gas, we take electricity, we take coke, higher than last year. But we experienced an easing compared to Q3. So, that was very welcome. In [indiscernible] (00:08:43) depending if you look on the forward price or the spot price, we would expect it to continue down for now slightly. But let's see what really happens as the quarter plays out.

Slide 9, profitability. Nothing much to say about that. Basically, the margins came back in Q4 due to price compared to Q3. And we are back on the same level that we were a year back. So, that was good progress. Price increases from the beginning of the year in most businesses has been around 25% to 30% year-on-year. It's a little bit more because Q4 one year back we had slightly lower prices and we brought to that end of the year.

Q4 profitability, same effect in the two businesses, a recovery back to more normal level, and it's basically due to price. Investments, we invested €93 million, €22 million into the sustainability investments. I come back soon to some of the results out of that. The big ones we are doing here is Flumroc in Switzerland, where we put in a green melter and electrical melter. We also added some Grodan capacity in Canada and Rockfon capacity in Poland.

We plan to continue investing not only in the green transition but also in capacity and sustainability. Whatever happens this year in the market in terms of turbulence and challenges, we will remain positive about the outlook for Rockwool. So we are not easing off. That's not the plan. We will continue to invest in new capacity.

Q3 (sic) [Q4] (00:11:08) cash flow, no comments. Slide 12. No comments to that really other than saying that there is not an increase in overdue payments or anything like that. The slight difference you see in working capital, that's basically inflationary driven. It's the value of the stock and not the amount of the stock. So, we have actually kept quite tight control of not building up too much stock when the volume dropped. So, that has worked out.

Slide 13, sustainability goal achievement. Back in 2016, before we had defined science-based target, we set some sustainability goals up to 2030 and then we put in a halfway house goal. And most of the cases we divided the goal 2030 by two and put it as a mid-term goal. And this slide represent what we achieved on that. So, if you look at, for example, the CO2, this is not CO2 equivalent, this is just CO2 emitted per tonne or per unit stone wool produced. We have managed to reduce that by 17% already since 2016. Thus very good progress and it's quite far beyond the target we had.

And I would say as we have moved along, we have learned quite a lot and we have developed quite a few technology – done quite a few technology developments that are helping us here. And for example, if you look at 2022, we took our Marshall plant, Southern US, from coal to gas. That also reduced the cost. And we did the same in Poland where we transitioned one big line from coal to gas.

That was at a higher cost because gas and of course went very expensive after we have done that, but for the sake of CO2, we still did it. And I remind you, for example, of what we did in Denmark. We went to biogas where we dropped CO2 emissions with almost 90%. So, good progress on the CO2 intensity.

Reclaimed material, Rockcycle is the concept. We call it Rockcycle. We have now launched up in 19 countries and we had a goal to launch it in 15 by 2022. Generally, I would say that program has gone from strength to strength, and there is quite a lot of enthusiasm about that for obvious reasons.

Energy efficiency in our owned offices, since we don't have so many white-collar staff, it's not a massive impact on the environment, but we have traditionally not been great at insulating our own buildings. We have done about

17 offices now and typically the reduction is about 80% when we do it and we are on 39% reduction. So, well on track to achieve that goal.

We got a little bit delayed due to Corona because it was very hard to renovate offices. We do this office renovation with quite a deep engagement of our own staff. So, we lost almost a year during Corona. And in spite of that, we are ahead of the plan. And part of the reason is that the energy savings are a bit better than we expected. So, quite happy about that development.

Water, this is not – or it's almost a free good. Water doesn't cost very much anywhere, but we have said we will reduce our water intensity. We are putting in closer loop system, rainwater collection, and all the rest. Most of these projects are – in a way, I want to say that they are near to loss making because water is so cheap still. On the other hand, some of these produce have already helped us keep production running where notices come out that there's water shortages and all the rest. We become less and less dependent on the municipal water line into our plants. And obviously, when a big consumer, like we, don't need to consume as much, it helps the community around us. So, the 14%, I'm very happy with that number.

Landfill waste, and that is what we don't manage to get through production, recirculate in the systems, and landfill from our factory sites, we have cut that by 50% so far, and I think we should continue to get to 85% reduction. And obviously, we don't mind getting there before 2030. And then on, say, health and safety, we put that red. Yes. The lost time incident ratio is down. Also, other type of incidents are down but we had a fatality. So, we still mark that red. We had a fatality in Poland last year. So, although the overall statistics has improved, it's overshadowed by that person who lost his life on one of our lines.

We have analyzed that very carefully and we are taking learnings from that. But we also have very big machines. And in this case, we had an employee that climbed into a machine that wasn't stopped. It shouldn't happen. But we are taking a long and hard think about how can we ensure that no one climbs into one of these machines because it's obviously super dangerous.

And then, a little bit off to 2016, we did – we committed to the science-based target. And the science-based target just to remind you of the differences, that's an absolute emission goal. It doesn't matter how much we grow. And it's also CO2 equivalent. So, if it's [ph] another (00:18:02) gas, for example, pure CO2, you have a multiplier on it. You know all about that. But we have set a goal to reduce Scope 1 and 2. So, that's everything inside the factory fence plus the electricity with 38%. And then while we do this, we believe automatically a lot of the Scope 3, everything outside the fence will follow. But basically, it doesn't look like much progress now. But if you go down and see what we are doing there and the fact that we have been growing quite a lot, I'm quite happy with those 4%. And we have also had the chance now to test some of the technologies.

In terms of achieving this goal, basically, every greenfield that we do now needs to come with more or less CO2 emission footprint. So we need to put absolutely emission-free technology or close to it in all the new build. And we need to convert. We need to convert the plants we have. So, the most recent one is Flumroc, where we have started a project to replace that melter. It's quite a substantial project that's happening as we speak. And that will drop the footprint because we feed the electrical melter with green electricity. Another example where we taken action, we did relocation of the factory in China. That wasn't really a relocation, but we got a big grant from the Chinese government to move almost €40 million. And while we moved, we then, of course, replaced all the equipment and put in electrical melter. So that has been done.

And when we look at next greenfield, we're waiting still for the building permit in France. Obviously, we are putting in an electrical melter that is running off green electricity. So that will reduce the footprint compared to if we do a traditional plant. So, this work will have to continue. And, obviously, we will just stay on course with this. And you see the green part of the CapEx that will have to continue. And we probably talk – I haven't announced specific figures, but it's not cheap. You need to be planned for spending those €100 million a year roughly and keep doing that for 10 years at least. And it will take even longer than that before we are done. But we are aiming for our sustainability goals, and I'm very happy with the technology we have in place now and the fact that we can make large scale conversions. So, all good about that.

Then we get to the outlook, I guess, the main focus of today amongst some of you. We have said we have flagged that we see the construction market go down, that is – it is impacted by interest inflation and war in Ukraine and what have you. So, we have seen a softening. So, therefore, we have put the range up to about – up to 10% drop from a very high level of the top line. Obviously, it's very hard to forecast. We have also allowed ourself to play a bit with price. So, volume is down, price to work this so that we roughly maintain market share and this downturn that we see now.

It hasn't at all changed our optimistic outlook. We see Germany putting money to renovation now. It's a plan of €13 billion in this year, not all insulation obviously. We see France doing it, Italy doing it, and there is a list of countries, but it's not happening very quickly. But the cooling off of the new bid market might help us. It frees up labor.

So, mix of ability to respond on price and balance and capacity, price and margin, that will impact that 10%. And just because we say down to 10% is not that minus 10% is the more likely. I'm just saying it's a very, very hard to predict year, and we have seen already during the autumn a slowdown and we had a record first half year last year. So, I think those are the main reasons for that up to 10%.

Then on the EBIT, we sit now with the situation that the energy prices are down. They are lower in Q1. That's our prediction than in Q4, and there are also lower – potentially they could be lower than Q1 2022. So, that's all good news but we see a risk in that, that when China wakes up again, that energy prices will increase. If China's economic activity stays as low as it is now, then the risk of that is smaller. But fundamentally, how long can China be on the extremely low economic activity level that we see now.

Other impact on the margin would be that we have reduced capacity, 500 jobs. We have reset the business on the current run rate. That's done. It was very quickly done, swiftly done, but on the white collar side, we see a more moderate reduction to the downturn we see now. And the reason for that is that fundamentally we want to be ready for increased renovation rate and a market that gets into growth mode again.

And we can't exactly say where it is but our position now is to be a little bit careful with overreacting to the downturn in our muscle, our engineering muscle. We will keep building and all the rest. And then when we have a volume drop, not fully adapt on it on every cost but get ready for the upturn and keep investing.

And then on the investment side, as I said, €400 million, keep it on that level, and the first greenfield that I see construction work start on is, most likely the one in France in the coming two, three months or something like that.

With that, I would like to hand over for questions.

QUESTION AND ANSWER SECTION

Operator: [Operator Instructions] We have a question from Kristian Johansen with SEB. Please go ahead, sir.

Kristian Tornøe Johansen
Analyst, SEB

Q

[indiscernible] (00:26:03). Thank you. So, probably not so surprising. My first question is on your margin guidance. Can you maybe just clarify exactly these 8% to 10%, what the assumption on prices and energy costs are? So, have you assumed your prices up or down year on year? The same on energy costs, is that assumed to be up or down in your guidance range?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Okay. I'm with you, Kristian. So, at the moment, obviously, there are three impacts on the margin. It's the absorption, so to say, the amount of absorption in the factories depending on the volume, and then it's the price and – versus the energy prices. So, what we have assumed now is kind of a picture where we say that we match roughly the price effect and the energy effect, yeah? And that we see an absorption impact. And then we don't have an accurate approach to when the price increase, if we will be – the energy price, if it increase, that would be late again.

So, we are kind of not – it's not our intention to dilute – if energy prices go down, our product pricing will go down, but we see also that we have a certain homework to just give ourselves a little bit of room to protect market share if it's needed. At the moment, we sit with high or slightly increasing prices in January, but we need to balance this with the volumes and absorption. So, it's between that. But I would say energy price and price, they should go a little bit hand-in-hand. But obviously, in some segment, we do less, some regions it's less, but there is some price element they are adjusting with the energy price.

Kristian Tornøe Johansen
Analyst, SEB

Q

So, just to clarify. So, what you're saying is the same gross margin assumed 2023 as you had in 2022?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

And that's a hard one because we had so many different gross margins in 2020...

Kim Junge Andersen
Chief Financial Officer, Senior Vice President & Member-Registered Directors, ROCKWOOL A/S

A

I mean – Hey, hi Kristian. Kim here. Gross margin is assumed to go up a little bit. The thing is that, as Jens said, we are holding back a little on the white collar staff. So, we will have a – you can say a more fixed cost balance than the volume would allow for.

Kristian Tornøe Johansen
Analyst, SEB

Q

Okay. So, it's primarily the negative operating leverage which takes the market down year-on-year, that's what you're saying?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

That's the idea. And then there could be a competitive effect if we get with this volume declines in selected market that we need to defend market share. And then I want to have some strength for that in case that's needed.

Kristian Tornøe Johansen
Analyst, SEB

Q

Sure. And that was actually just my other question here because, I mean, what have you seen specifically which make you mention the need to defend market share so specifically? So, have you already seen competitors be aggressive on price?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

You – I mean, there are so many competitive dimensions here. You have pricing now into plastic foam, certain segments. Some of the raw material prices going down that has been very high. So that might increase the competitive environment there. Then if you have a volume drop in some markets, you have some stone wool suppliers that they want to keep capacity. I mean, we cut capacity immediately when we saw this and adapted it to what we feel is a good level. But you – I mean, basically, in every year, we see a little bit of that all over the place.

But if the volumes go down, we certainly see it and it can vary by segment. For example, in the new builds segment at the moment, single-family houses, new build, where it's not our main, main segment, but obviously the competition in there is tougher now because that is one of the main segments for glass wool and they lose a lot of volume in some countries and then it also wraps over on us. So, we see a mix bag of that. And I guess my approach would be to say, we'll – as always we believe we should keep pricing sound in relation to the costs position and for the product we sell, but that also we'll react when needed and that's the approach.

And yes, we see in some segments that it's happening, but it's hard also so early in the game to see exactly what the reason is because, for example, we have had [indiscernible] (00:31:29) in Poland where without the market changing that much, destocking can impact two quarters. So, it takes a while to understand what actually happened on the end customer side, and we are in that process now. I give an example in the US. There we had a couple of months last autumn, but we had very low business volumes. We just stuck to price because we were convinced business volume was down. But that it was destocking with your stock and now the business is back up again. And we are doing further price increases because it was just a massive destocking that looked like a massive market decline. But it wasn't as dramatic as one would judge by the production volume. So, we have this. We just need to navigate through. And there's not one recipe everywhere. But one thing is for sure, I will not sit with a high price and have a competitor that keep capacity up and just going to take my volume then I will respond. Okay?

Kristian Tornøe Johansen
Analyst, SEB

Q

[indiscernible] (00:32:42). Absolutely. I will get back in line. Thank you so much.

Operator: We'll take our next question from Brijesh Siya with HSBC. Please go ahead.

Brijesh Kumar Siya
Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Hello. Good morning, everyone. I will go back to that 8% to 10% margin guidance again. Jens, if you could explain to us what is changing between Q4 2022 to 2023 to suggest that 11.9% margin comes down to 8% to 9%? Because I'm coming from a point that the residential end market was remarkably weak in Q4 and that possibly is improving as we speak. Not that it's coming back to the original level but it's still down, but nevertheless, a sequential improvement. And if you could just give what's your volume adjustments within that by end market there?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. So, Brijesh, I don't give specific volumes, as you know, but I can give a flavor. I agree with you that the residential market came down in many markets. I mean, Denmark and Sweden being prime examples, but really stopped. So that we saw. But what I've seen now is the project pipeline where we look into, say, flat roofs. You have the example of some of the data centers projects cancelled. You have a famous example here in Denmark. You have Amazon where they had the expansion plans and they were not public in that respect, but we knew about them. And what you talked about, 4.5 million square meter of projects, flat roofs that kind of are postponed or not happening or cancelled. So – And then, you look into, say, we take a country like Poland, has been in extreme, extreme, high activity level. And what we look into now in Q2 is just fewer projects.

So, I would say you would see a bit of decline also in other segments happening because the economic outlook is uncertain, commercial business, non-residential business. And then, some of it, if you look into Eastern Europe and Russia, you'll see maybe Russia not improving either. It's not a huge effect, but it is a negative effect. So, I would say you can add few more segments on top of the residential. And then on the project side, projects needs to be completed, but then you need new projects to come. So, I look at the pipeline and the start of new products, and it looks to be lower.

Brijesh Kumar Siya
Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Okay. So what you are suggesting is that the 15% to 20% volume decline you had in Q4 that is residential is majorly in Q4 but when we look into 2023, would you say that the residential will be down double digit and non-residential also?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

I'm not sure I've said 15% to 20%, Brijesh, but I think we will have a mixed bag going forward of that. You have a bit tougher competition on flat roof. You have a bit more capacity, and you have new projects not coming to the same extent because the economic outlook, it does not fit into the pipeline, and there is just less in the pipeline.

I should say at the moment it's not still on a level where we have sound production, but you definitely see that it has come down. But that's just I think a short-term effect that we see now. We then want to bridge this into the next stage, which is for this labor capacity use for renovation and that some countries will use renovation and the green agenda to provide a bit of stimuli or reach the goals that the EU now has mandated for the countries.

And that – so I think we are talking about – I don't know if this is a gap year or gap half year or gap one-and-a-half year, but there's some sort of gap we are looking at. But overall little bit long term, you'll just take the next box in your spreadsheet or two boxes down in your spreadsheet. I'm very confident about the growth.

Brijesh Kumar Siya
Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Okay. Sorry to press on this. Would you say that your guidance for up to 10% is the most [indiscernible] (00:37:45) you could have, and if anything, you could beat that?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

You know, we always have the spirit of beating. We look at each other in this team. When you look at what we did between Q3 and Q4 in all the countries and price realization, that was well done. We know we are agile and we know we can manage. Here we are creating room to what's driven by the construction decline, whatever that number is, I'm fine with it. I'm fine with that you have a decline, but I need to balance our muscle for the future here. If this is relatively short-lived with capacity reductions, sure, we will reduce also fixed cost overheads and that. But we will not go extreme on it because we are so optimistic about the future when this starts to grow again.

So, I think that's the main item that the market size will define how much it is. And then there are some short effect that an extreme peak in energy pricing again can lead to a challenging quarter for us. So, we need to keep in mind that if we have one of these 6% margin quarters again because the energy market explode, that can also be a case that we know because we have decided. Again, we are hedging only a fraction because we haven't found one-year hedges. There are some countries where we have really good schemes in place, and we are much better positioned than last year. But on aggregate, we see that it hasn't made sense again for us to hedge very much, and that means that we have that risk also. So, we have been making a wide window so that we have covered most of them. And then as we move through the years, of course, we hope to improve the situation.

Brijesh Kumar Siya
Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Okay. Okay. Fine. Then I guess you answered my first question about 8% to 10% margin versus 11.9%, because you alluded to the fact that you are allowing a margin for a 6% EBIT margin quarter as well, right?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. Yeah. And then also to sum up, I mean, we go into Q1. There's one thing what happens in Q1, we are in a way in a good place in a market that is declining, but then the rest of the year is just incredibly hard to predict. It is not like a 2% to 3% year that we had before 2018 and 2017. It's another one of these turbulent years we have ahead and we have reflected that in the outlook.

Brijesh Kumar Siya
Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

All right. Perfect. Thank you. And I have a long list of questions, but I'll jump into the queue. Thank you very much.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Thank you.

Operator: We'll take our next question from Claus Almer with Nordea. Please go ahead.

Claus Almer
Analyst, Nordea Bank Abp (Denmark)

Q

Thank you. Yeah. Also a few question for my side. As you've said several times that you want to protect your market shares, if you look at the low end of your revenue growth guidance, does that imply a loss of market share or stable market share? That would be the first question.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Stable market share.

Claus Almer
Analyst, Nordea Bank Abp (Denmark)

Q

Okay. So – and as you said, foam products are enjoying cost deflation. So, what would happen if they start to lower their prices? As you said in previous calls, there's a certain difference between stone wool and foam where client will start to favor one technology over the other?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. We've analyzed that. And actually the vast majority, for example, flat roof that we get, that has a fire component to it, non-combustibility component. So, it's not a direct competition. There are buildings where both can work. But the segment we play, most of that, the majority of that is with a fire component. And it can vary between countries. In Netherlands, no one cares about fire properties. Germany, they do. Denmark, they do, etcetera. So, it is a very, very scattered picture. But just because raw material prices goes down on [indiscernible] (00:42:28) doesn't mean that it'll become crazy competition everywhere where it's just priced somewhat because we are positioned differently, and we still adhere to that, that when we have the right product and the right segment, it should have a sound profit margin. And that's how we drive the business. I just created room in case we need it. And this stable market share is incredibly different, difficult to measure precise market share in all the segments we are in. But roughly speaking, that's the approach.

Claus Almer
Analyst, Nordea Bank Abp (Denmark)

Q

Okay. That makes sense. And then, you said you expect or you fear that energy cost could go up again when China picks up. So, what about your hedging strategy? Have you started to hedge energy or you're still running on the spot market?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

We have run – obviously, we are working on a strategy with PPAs, Power Purchase Agreement. We have made some. For example, in France, the government came with the great approach, and we tied that up for two years. Then on gas, we don't like hedging with the way the market done, but we have done a fair amount to just make sure that if it goes crazy on gas, that we numb the feeling.

But our analysis at the moment is that when we simulate different – for example, last autumn, we didn't hedge because our conclusion was it would have cost us maybe €40 million in a quarter. It turned out that we were right on that. So it's still the cost of a hedge with this one year perspective as we see it now, still comes with a very high risk premium.

When we run hedging policies the last 10 years and you go a little bit longer hedging policy, a rolling longer hedging policy, it seems that the market works. It's no difference in the cost actually. You just have more stability. But we haven't found that sweet spot yet and therefore we have largely left it except for some gas to just numb because we see that if the gas goes crazy with China LNG, in the autumn, we at least have numb the effect of a portion of it.

Claus Almer
Analyst, Nordea Bank Abp (Denmark)
Q

Okay. That makes a lot of sense. Thank you so much.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S
A

[indiscernible] (00:45:08).

Operator: We'll take our next question from Yuri Serov with Redburn. Please go ahead.

Yuri Serov
Analyst, Redburn (Europe) Ltd.
Q

Jens, hi. Can you hear me?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S
A

Hi, Yuri.

Yuri Serov
Analyst, Redburn (Europe) Ltd.
Q

Yeah. Hi. [indiscernible] (00:45:25), people were questioning you about your price assumptions. Then from your answers, my feeling is that it's not really clear what prices [ph] are going to be (00:45:38) next year. So, I presume that...

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S
A

We can't – Yuri, we can't hear you on this side. You're breaking off.

Yuri Serov
Analyst, Redburn (Europe) Ltd.
Q

Hold on [ph] for a second (00:45:50). Can you hear me now?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S
A

Yeah. It's better. Thank you. [indiscernible] (00:46:00).

Yuri Serov
Analyst, Redburn (Europe) Ltd.
Q

Yeah. I was saying that there was questioning about the prices and the answer you've given, just to me that you're not quite clear what is going to happen to price. So, let's assume that it's zero. So, that suggests to me that minus 10% revenue guidance, the majority of that you think is going to come from volume, is that correct?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. I think it's fair assessment. I – we have – I believe that there is a good chance that energy prices are lower this year than last year. But you have – there might be other factors, too, but you have the main one is the China effect, yeah, that they open up and you have Asia pull on energy. So, that's the main one that we have allowed us a bit of room for. But, fundamentally, I believe that if that doesn't happen, energy prices should be lower. And there we said we hope our goal is that we match pricing with energy costs somehow and the rest is the absorption effect and maybe some competitive elements in there. But absorption effect is the main one.

Yuri Serov
Analyst, Redbum (Europe) Ltd.

Q

Yeah. I understand. But going back to what you just said that you agree that the majority of minus 10% is from volume, to me, that is just quite extreme because in previous conversations, you said that during the global financial crisis, your total drop in volumes was minus 10%. And we are talking about a significantly milder recession now. And most people are actually not even seeing a recession chance...

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah, but...

Yuri Serov
Analyst, Redbum (Europe) Ltd.

Q

...even in Europe.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah.

Yuri Serov
Analyst, Redbum (Europe) Ltd.

Q

I'm just surprised that this is what you're assuming.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah, but I think they are different. In mild recession, the house builder says we might have – we don't even have a recession in Denmark, but you have a super drastic negative impact on construction in Denmark. You're talking about some house suppliers. I have a friend who owns a house supplier. 1,000 houses a year. It's not Denmark. It's in Sweden. They sold one house in six months. So, recession and GDP are linked to the construction market in certain segments. It's not the same levers. So, I agree with you. Let's hope for a mild recession, if any recession. The German numbers now came up a little bit. So, IMF even said Russia would be on flat this year. That might be the case. It could be worse. But in the construction market, I see something slightly different. And how long that will be, it's hard to judge.

Yuri Serov
Analyst, Redbum (Europe) Ltd.

Q

Well, that's still surprising because the global financial crisis was a construction-led recession. And we saw how huge the impact was, and you're effectively describing something similar now. But I hear you. Listen, the other thing about prices and competition. You have hinted a few times that competition is acute especially in some segments but overall it feels like it is. And again I remember previously when you were telling us about price evolution in 2022, you were expecting that from the beginning until the end of the year that prices would go up by 35%. But today you just said that they actually went up by 25% to 30%. That means that in Q4 you couldn't really raise the prices. So, can you just talk to us about that?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. Yeah.

Yuri Serov
Analyst, Redbum (Europe) Ltd.

Q

I mean why insulation is a good industry? The capacity utilization is quite good. I mean, it's fallen but it's high...

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. You...

Yuri Serov
Analyst, Redbum (Europe) Ltd.

Q

...and the competition seems to be quite acute.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. I mean, Q4, we delivered all the price we wanted. And here it's more a matter of comparison Q4 2021 average versus the end year. So, the price – the – yeah. so the end of the year last year, we had increased prices compared to the 1st of January with more than 30%. But compared to the average of the end of the year before it was 23%. So, this is semantics on how you do it because a quarter when you ramp, the average would be different to the endpoint. So, no – So, price realization was not a problem in Q4. Not at all.

What I see now is that we have a situation where you have in some segment a volume drop of, we're talking more than 10%. Single-family houses in Denmark, I'm still curious to see what happens in Q4. But I predict it to be something like minus 70% or something like that, maybe even worse. And when you have that plus you have distribution destocking, that's something different as opposed to steady, slightly growing market. So, I think you're mixing two modes, a transitionary mode with a more stable growing market.

And I – and we expect this more transient market condition to happen this year. And we saw it starting in Q4, but we realized price as we did it. But looking forward now, last year, once we got into midyear, we knew energy prices would be crazy, so it was relatively easy to take a decision three months forward. But now, will prices now go down and then up on energy or what will it be, it's a less clear picture. So, it's a different dynamics.

Yuri Serov
Analyst, Redbum (Europe) Ltd.

Q

Okay. Can I just clarify? You just said that the average price went up by 33%. I presume this wasn't inflation...

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

No. I didn't say...

Yuri Serov
Analyst, Redbum (Europe) Ltd.

Q

[indiscernible] (00:52:22).

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. This is the danger with this when you put it because I said the price compared to first of January to 30th of December, and you draw a curve between that, but I don't explain how that curve goes. I didn't speak about averages.

Yuri Serov
Analyst, Redbum (Europe) Ltd.

Q

I just wanted to figure out what the volume did in 2022 overall. Was it like minus 3%, minus 4%?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

No, I don't respond to that because we mix volumes on all segment, but we don't give that.

Yuri Serov
Analyst, Redbum (Europe) Ltd.

Q

Okay. Can I just ask one last question about your margin? Previously, you were saying that your aspiration for the long-term margin is 13%. Is that still your...

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah.

Yuri Serov
Analyst, Redbum (Europe) Ltd.

Q

...aspiration?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Absolutely.

Yuri Serov
Analyst, Redburn (Europe) Ltd.

Q

Okay. Thank you.

Operator: We'll take our next question from Casper Blom with Danske Bank. Please go ahead.

Casper Blom
Analyst, Danske Bank A/S

Q

Thank you very much. And I would like to ask another question. You announced or said yesterday that you sort of still intend to build the factory in France. So, first of all, hoping you could just give an update on the timeline there. And secondly, should we also expect additional factories on top of that? I mean you didn't really get about building what you wanted to build last year. That's my first question. Thank you.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

So on France, where it stands now is that the legal case, where the central government and the local municipality was involved, that's settled and the verdict is very clear. So, now is the time of issuing the building permit and the uncertainty of issuing that building permit is that the French legal system doesn't have defined response times. You should do it in a reasonable time and we don't know exactly what that reasonable time is.

But we predict that it's going to be towards the end of Q1 or first half of Q3 and then we start building. So, that's France and that's where it stands, and then the timeline for that would be, we will, of course, see if we can shorten the delivery of that. But if you start in 2023, 2024, 2025, you hope to be ready but we'll come back with a timeline. Obviously, we have worked – we continue to work on the engineering, on the plant, and all the rest, but we need to reassess the timeline when we have the building permit in hand. The environmental permit we have already. So, that's clear. The air permit all of that is in place.

Then in terms of other factories, I haven't announced any other factory products, but there will be other factory products because I'm confident in the demand for stone wool. We talked about the transient kind of intermediate low or slightly lower downturn of construction. And maybe that's not a bad thing to get renovation started, but we will come with more factory products. And we are not going to be – obviously, now we have a little bit more time due to the market contraction. But we still want to do it. It's still going to be needed and we will not miss. We will not miss this slow down to push forward.

And when you look at some of the absorption issues we have, we want to keep our engineering capacity and keep working through this. And some of that is reflected in our margin numbers. The other thing we do, for example, we use the time now is that we're putting solar panels in quite a few places and we have engineering for that. We keep investing in that. So, yes, we're going to convert greenification and we're going to come with more new builds.

Casper Blom
Analyst, Danske Bank A/S

Q

Okay. And just to make sure I understand correctly. Let's say that you announced another factory [indiscernible] (00:56:52) 2023, that would not be included in the €400 million CapEx guidance. Is that correct?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. It's included. We have included it. And the reason is when you start the project, you have – you need to buy a piece of land, right? You need to do a whole lot of engineering to get an air permit or environmental permit. You need to do in most places a lot of engineering to get the building permit. It varies a little bit. And you do a whole lot of other things. But, of course, it's not the main equipment spend that comes in the first year. So, it's more engineering hours. It's expensive but it's not near placing equipment orders for €80 million. So, therefore, it doesn't really impact the forecast. So, we have allowed for those projects in our forecast €400 million.

Casper Blom
Analyst, Danske Bank A/S

Q

Okay. Understood. And then just as a follow-up to all of the many questions regarding prices, I mean, you've kind of talked about the competitive dynamics here, the glass wool and stone producers, but what is happening on the customer side right now? Are you getting calls from customers that they'll start complaining about their volumes and say, [indiscernible] (00:58:14). I can see the energy prices down, you need to lower the price or roll back the price increases that you did last year? Is that starting to happen already?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. I mean it happened the whole last year. Our focus last year was that we try to have a very open dialogue about the costs with our customer. I mean, it's not an open book, but we tried to say we believe this happening on energy prices. And I guess our result in Q3 underlined that we were not doing this just for the fun of it. It was a need.

And when we look at our Net Promoter Score from our customer in insulation, for example, it actually increased last year. So, we did it in a – with a really, really – I was open intent on the sale and it was reality and they suffered and there were other materials that went up much more than we did. So, we do that and now you have the other situation that the energy prices come down and then people ask for lower prices. And there again, we're going to have a dialogue with them and we need to understand the situation and then we need to weed out also market declines that are distribution, destocking from real and then set it on that level. But you have that discussion but that discussion is there all the time every year. You're always going to talk about that with your customers, so it's nothing unusual in it.

Casper Blom
Analyst, Danske Bank A/S

Q

Okay. Cool. Thank you very much.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Casper.

Operator: We'll take our next question from Cedar Ekblom with Morgan Stanley. Please go ahead.

Cedar Ekblom
Analyst, Morgan Stanley & Co. International Plc

Q

Thanks very much. Good morning, gentlemen. I have a couple of follow-up questions. The first one is quite simple. Could you just confirm what your rollover pricing is at the start of 2023? And if the price increases that you spoke about at the Q3 results of the 7% to 10% incremental price increase from January have been successful?

And the reason I'm asking this is this obviously gives us the starting point to then think about where prices might go as we move through 2023 and the discussions on market share. That's the first question. I don't know if I should give you the rest or if you just want to answer that one as a starting point?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah. So, the price increases we talked about in Q4, when we discussed Q3, that happened. Okay? And then the rollover price is what 10%, 15% but it varies by region and etcetera. Prices going forward I think is very much dependent. We launched price increases for Q1, but if the energy prices go down, we will not be needing that in every market. And, again, it varies by market. So, I think that energy in generally – general inflation will rule how much we do and to some extent also competitive environment. So, that's where we stand and it's very hard to give any numbers to that. These are linked together and we need to navigate it, but without [ph] sitting I said (01:01:37) all these assumptions for every month on this, this is the pricing strategy. Our approach to it is to look at it now quite frequently and manage it by market and really be – try to understand what's going on. So, it's hard to put it in and we never do it anyhow in just a percentage point, and up and down we need to weigh the whole picture. Yeah.

Cedar Ekblom
Analyst, Morgan Stanley & Co. International Plc

Q

Okay. That makes sense. I mean the second question is a very simple one. You talked about the risk of prices falling in the market and your intent to defend market share, which makes a lot of sense. Are you actually seeing any prices going down today? I mean, it doesn't sound like you're cutting your prices right now. I know you flagged risks in the future, which make a lot of sense, but you're not cutting prices, is my take, and I don't hear from any competitors that they're actually cutting prices yet.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah, but I...

Cedar Ekblom
Analyst, Morgan Stanley & Co. International Plc

Q

So, I just wanted to get a sense or the feeling on the ground today...

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Yeah, but...

Cedar Ekblom
Analyst, Morgan Stanley & Co. International Plc

Q

...taking into account obviously the risks on a more medium term.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S
A

I'll give an example. We won an order for 300,000 square meter, a big factory. That price, we went down on price to get that due to energy cost and all the rest. And we still got the price that was 20% above the second has bid. And they bid incredibly low price, but we got the order. So you have those effects in markets where, for example, in Poland we see [indiscernible] (01:03:20) in a pipeline. You need to choose what project you take. And then we typically have a premium and we adopt a bit. And it's a different energy situation now than it was in the previous quarter. So, we do that all together.

But overall, you see, of course, much higher price level than we had this quarter last year. And it's not like we sit and just lower prices all over. This is done with thinking of cost and what orders we want. And then it's very different also in distribution, [ph] the diffused (01:03:59) sales and projects. And we just need to weigh this and it's too early in the year to say exactly where that will land. But it's not that we have gone out and say [indiscernible] (01:04:08) price is 10%. Definitely not. Energy prices are still very, very high. We should separate, you know, try to make sure we have underlying gross margin in the business and that's our goal.

Cedar Ekblom
Analyst, Morgan Stanley & Co. International Plc
Q

Okay. So, I'll take that as in some markets and in some products, prices in, say, January and February are lower than they were in November, December. But on balance still that's the backdrop.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S
A

And in some markets it's higher. And we...

Cedar Ekblom
Analyst, Morgan Stanley & Co. International Plc
Q

Okay.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S
A

...always have that. I mean, it's a fluid thing. But the price quality is high. But there are going to be segments. Obviously, if we have a product in the residential market now, general building insulation, there we have to lower our price to keep our share and then different situation in another segment. Yeah? Okay.

Cedar Ekblom
Analyst, Morgan Stanley & Co. International Plc
Q

Okay. And then just on gross margin, in the last two years, 2021, 2022, we've seen more than 1,000 basis points of gross margin compression. And I understand the points that you're making on being focused on market share and wanting to match price and cost development. But why are we not actually thinking about trying to recapture gross margins, right? Because effectively, if you're saying we want to match pricing cost, you're basically saying we're not going to try and increase the gross margin, which I find surprising considering the level of gross margin compression in the last years...

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S
A

Yeah.

Cedar Ekblom
Analyst, Morgan Stanley & Co. International Plc
Q

...and the windfall that we're now seeing [indiscernible] (01:05:44). I would assume that the whole industry has seen a lot of gross margin compression in the last year, and that the whole industry is hoping to see gross margin improve. So, I'm just trying to square your comments with...

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S
A

Yeah.

Cedar Ekblom
Analyst, Morgan Stanley & Co. International Plc
Q

...the broader industry backdrop, which has been tricky...

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S
A

Yeah.

Cedar Ekblom
Analyst, Morgan Stanley & Co. International Plc
Q

...and why not try and see gross margin improve.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S
A

Yeah. I think you – we absolutely want to keep the gross margin percentage and improve it. Okay? What you have now was that you have this extreme, extreme inflation where it turned – if you had your energy cost increase with 60% in a quarter and you need to increase the top line with 60%, and if you want to increase the gross margin, you need to increase the price maybe 70%. With that extreme dynamics we had in [ph] 2024 (01:06:41), I mean, we lost masses of gross margin because we couldn't react quick enough. And then towards the end of the year, we had gotten it back up to at least a reasonable level.

But – so the gross margin issue we need to sort out, but then we have an idea that we need to improve it because we are investing in engineering, digital, and green technologies. So, our goal is to get the gross margin back and get that back what you mentioned and also improve it, so that we can finance and get back to [ph] now 13% (01:07:18) EBIT margin and have a business where we can finance those investments we do in green technologies, etcetera. So, you and I have no different view on that. I don't have a different view to what you want me to have. I'm pretty sure.

Cedar Ekblom
Analyst, Morgan Stanley & Co. International Plc
Q

But then, Jens, just to push you on that, why are you saying you want to match cost and price? I mean, that's effectively...

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Not match. No, no, no. That's...

Cedar Ekblom
Analyst, Morgan Stanley & Co. International Plc

Q

[indiscernible] (01:07:47).

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

That's obviously not. If the cost goes out 20% and that the price needs to go up 20%. No, it's still in the spirit of the gross margin, of course, to maintain in the gross margin or improve it. Yeah. Always.

Cedar Ekblom
Analyst, Morgan Stanley & Co. International Plc

Q

Okay. And then sorry, just one last one. Should you have higher EBIT margins in Q1 because you've got the benefits of all that growth, I mean, sequentially versus Q4. You've got the benefits of all that rollover pricing, and I know you flagged the risk of pricing as we move into the rest of the year, but ultimately, Q1 should still have pretty good pricing. I know volumes will be really weak, but you've also got quite a big tailwind on energy cost. So, how do we think about the Q1 margins sequentially, please? Thanks.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

We typically – I'm not going to guide. We are still fresh in the quarter, but it's not uncommon that we have good margins in Q1.

Cedar Ekblom
Analyst, Morgan Stanley & Co. International Plc

Q

Okay. Thanks so much. Appreciate the time.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Thank you, Cedar.

Operator: We will move next with Yassine Touahri with On Field Research. Please go ahead.

Yassine Touahri
Analyst, On Field Investment Research LLP

Q

Yes. I would have a question again on your midterm target. So, your gross margin was closer to 50% in the past five years. Would you – is it fair to assume that you want to go back to this level? And would you try to achieve a margin of like 13% or more than 30% medium term? Yeah, that would be my first question.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

I – We don't guide for that. But if you look at it, if we start to really – you're talking EBIT margin. I mean, we start to put – if we need to grow more, EBIT will be impacted on the depreciation and we are being quite [indiscernible] (01:09:53). So, let's say one year we build three new plants and we add all that depreciation. Maybe then we need to start to talk EBITDA margins and see what's happening there because EBIT margin can be impacted by some of these non-cash effects.

Now, we haven't done anything really drastic there, so 13%. But I will say the spirit is that we are absolutely fine at 13% and growing, and we want to grow. We have had 5% to 6% CAGR for eight years. And then – now then we have this dip. With the pure organic growth, it's pretty hard. On average, to get above that, that really requires we build a lot of factories. But I don't mind higher EBIT margin at all. It's just that when you start to grow more and you build more factories, and when you build them, you don't fill them up, experiences that it's hard to keep – you could have a really good year with a really good EBIT margin. But if you keep building all the time, I think that 13% is a pretty, pretty – 12%, 13% is a pretty okay level to be at provided you grow.

Then the EBITDA discussion, we can do some other time because here you might want to step up a little bit over time. But we do a lot of investment at the moment in marketing, digital, development. We are not holding back on any of that and that needs to be financed, and it needs to come from the gross margin.

Yassine Touahri
Analyst, On Field Investment Research LLP

Q

And then, on the competitive landscape, for example, we understand that Saint-Gobain they will face – they will probably face a higher energy price in 2024 – in 2023 because they were hedged last year. When we look at [indiscernible] (01:11:59), they just made a big acquisition in glass wool, and they probably have to repay the debt. So, they probably need to generate cash. Do you see those big player, which I understand probably like [indiscernible] (01:12:13) 60%, 70% of the capacity? Do you see those big player being disciplined on price and trying to hold prices, or do you see also like the large player are being a little bit more nervous and trying to underbid on project?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

I don't want to comment that now. I think the bigger you are, the more important that you have a steady cash flow to finance a big operation. You can't swing it around up and down. But commenting individual players, I don't want to do that, but if you want to run a sound big business, of course, you cannot drive. As a market leader, I can speak for ourselves. I mean, [ph] isn't (01:12:57) obviously we need to have an acceptable price level and generate cash all the time to feed our growth. So, that's our view on it.

Yassine Touahri
Analyst, On Field Investment Research LLP

Q

And then the last question on the energy price. Just can you – energy price are relatively low today. You mentioned that you hedged a little bit. Could you mention like what percentage of your gas and power bill is hedged in 2023 or just [indiscernible] (01:13:34) magnitude?

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

Let's say like this, our total energy we do, very little is hedged but then the specific hedge with – Europe is one thing, US one thing, Asia one thing. So, I don't want to venture into that because I probably give you the wrong number when you put it as a global number. But we have hedged a bit in Europe to make sure that we make ourselves a little bit more resilient.

But we came to the conclusion that and I want to emphasize that for our energy types, we came to the conclusion that we couldn't find a good hedge to hedge 80% or 50% of all our energy in Europe. We couldn't find a good point. So far that has proven wrong, right? But then, of course, if China steps in at the end of the year, we might sit and say, we wish we had that hedge. But up to now, I just feel every time we look at it, it seems expensive to hedge. So, that's as much as I would like to share about that. So, it's pretty insignificant what we have hedged. I would express it that way.

Yassine Touahri
Analyst, On Field Investment Research LLP

Q

Thank you.

Operator: We will take our last question from Zaim Beekawa with JPMorgan. Please go ahead.

Zaim Beekawa
Analyst, JPMorgan Securities Plc

Q

Good morning, Jens. My first question is just a clarification. You mentioned the majority of the guidance is on volumes of 10%, which kind of implies flat pricing and that was compares to kind of the previous commentary on pricing being around 15% on the carryover. So, that implies some quite strong cuts. But I'm getting a sense that's not exactly what you're saying. So, what am I missing there?

And the second question is Rockwool seems to always have a pricing premium compared to the competitors. So, do you think that the volume decline that you face will be more pronounced as spending comes under pressure? Thank you.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

A

So, first of all, we have allowed for a bit of price reduction in the outlook. And then, I say it's up to 10% decline. So, let's assume we work and so we have a – we do – it's not like it's one calculation and we get to the guidance. We play around with the numbers and said, okay, within this, we can navigate. So, it means that the numbers are not always matched. It's like different streams. So, what I've said on price is that depending on the energy price and the inflation, it may well be absolutely that the prices are lower during this year than at the beginning of the year. And that's fine as long as we can protect fundamental gross margin.

So, if energy prices keep going down and we don't get to spike at the end of the year, we are fine with lower prices because our goal is not to just sit stuck on that and then see energy prices go down €200 million and not share any of that. And the market won't allow it because other will go down. But, of course, we don't – so, we have allowed in the calculation price, but we haven't allowed a massive dilution of profitability with price. So, that's that part.

And then if we then have 10% to 20% volume drop in the market and that is then the more bigger effect on the bottom line. And that's the link. And the fact that if we – we don't hire any people in the offices on the white collar side. On the blue collar side, we adapted to the capacity that we deliver that we have to invest a vast majority or two-thirds or something more of our employees are obviously in the factories. We have deep, deep manufacturing.

And then on the office side, the white collar side, since we're going to do engineering of new plants, this green investments, all the rest, we have said that we don't want to make a cut exactly with the volume decline temporarily in the construction market. And you pay a little price for that and that's reflected in the outlook. Okay?

And then you could argue, okay, that's bad management. But if you like, I and our team believe that the green agenda will come up. It will work. It will kick in. Then it's better to bridge because we have a really good crew in this company that knows a lot about stone, so we don't want to damage that muscle. But, of course, if we sit in one year's time and the business is down 20% in volume and it's looking to be stuck there. We haven't seen that in the history of construction but let's assume that's the case, then of course we have to look into the fixed cost and do something deeper. But we have never seen that in the history of the company. And one of the lessons was maybe that sometimes it's better to be more measured in those situations.

We saw it during Corona. I will say that second quarter we had, we probably took a bit too much cost out in that one than we should have, but we did. And here we see so many macro speaking for us that we need to be a little bit cool in this one. Does that make sense?

Zaim Beekawa
Analyst, JPMorgan Securities Plc

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Yeah, that makes sense. Thank you.

Jens Birgersson
President, Chief Executive Officer & Member-Registered Directors, ROCKWOOL A/S

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Zaim.

Operator: And ladies and gentlemen, we will now close the Q&A session. I will now turn the call over to your host for final remarks. Please begin.

Thomas Harder
Director-Group Treasury & Investor Relations, ROCKWOOL A/S

Thank you. Jens, Kim, and I, Thomas Harder, thank you for joining today's earnings call. We would like to thank you for all your good questions and the audience for listening in on today's call. We appreciate your interest in Rockwool A/S. Please be informed that on the 2nd March, the Rockwool Group will hold the next investor conference call dedicated to ESG topics. If you have further questions, please feel free to reach out to me. You know my contact details, or you may find them on the Investor section on our corporate website. Have a great day.